

13 Jul 2026 05:08:34 ET | 15 pages

Estun (002747.SZ)

Fundamentals Improve But Share Price Seems Overshooting; Maintain Sell

CITI'S TAKE

We raise 2026E/27E earnings by 70%/26% to reflect Estun's better GPM profile and asset disposal gains as well as investment income in 2026; we introduce 2028E. Estun is diversifying its customer base away from key customers such as BYD (1211.HK) to improve its GPM; however, we expect Estun to still book ~Rmb20mn in impairment loss due to deteriorating receivables quality of leading NEV customers. We also estimate non-operating income to reduce from ~Rmb100mn in 1Q26 to Rmb10mn in 2Q26E without significant asset revaluation gains in 2Q26E (Rmb70mn in 1Q26). As such, we project Estun's 2Q26E net profit to be Rmb26mn, 29% below Bloomberg consensus. As Estun's share price is up ~80% YTD, we think weaker-than-expected 2Q26 results could be a near-term negative catalyst. Maintain Sell and prefer [Leader Drive \(688017.SS\)](#) over Estun among high P/E automation and robotics names.

2Q26E preview – We forecast Estun's gross profit to grow by 34% YoY to Rmb473mn in 2Q26E on 15% YoY revenue growth and 4.5pp YoY GPM expansion, which would be driven by both cost reduction (i.e., procuring more reducers from low-cost suppliers) and customer diversification (i.e., penetrating Seres and Geely to diversify from BYD). However, **our net profit estimate of Rmb26mn (up 538% YoY from Rmb6mn net loss) is 29% below consensus** since we estimate Rmb20mn in impairment loss related to leading NEV clients and only Rmb10mn in investment income in 2Q26E (vs. Rmb100mn in 1Q26 due to Rmb70mn in revaluation gains on Nanjing Yigong, 南京工艺 – a ball screw and linear guide maker)

Acquisition of Estun Codroid – Initial impact from a potential [acquisition of Estun Codroid](#) would likely be negative as Codroid is loss-making. Potential synergy is uncertain given Codroid's early stage of physical AI / humanoid robot development.

TP change and valuation – Our TP of Rmb28 (from Rmb13.8) is based on 12.3x 2026E P/B (prev: 6.4x 2025 P/B), set at 2.0 SD above avg P/B. Although we apply a higher multiple to reflect Estun's improving fundamentals, we think that its rich valuations, at ~19x 2026E P/B and ~180x P/E, have overly priced in all the positives, exposing the stock to any potential negative catalysts, such as 2Q26 results.

Earnings Summary

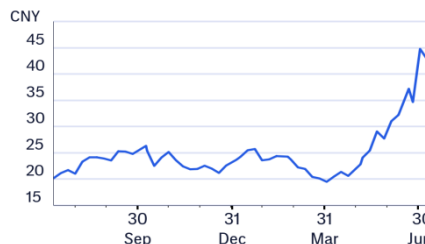
Year to 31 Dec	Net Profit (RmbM)	Diluted EPS (Rmb)	EPS growth (%)	P/E (x)	P/B (x)	ROE (%)	Yield (%)
2024A	-810	-0.930	na	na	18.7	-36.1	na
2025A	45	0.050	105.4	na	17.1	2.4	na
2026E	233	0.241	382.5	159.6	17.0	11.2	na
2027E	273	0.282	16.7	136.7	15.1	11.7	na
2028E	345	0.357	26.8	107.8	13.2	13.1	na

Source: Powered by dataCentral

Sell

Price (13 Jul 26 15:00)	Rmb38.500
Target price	Rmb28.000↑ from Rmb13.800
Expected share price return	-27.3%
Expected dividend yield	0.0%
Expected total return	-27.3%
Market Cap	Rmb33,534M US\$4,954M

Price Performance (RIC: 002747.SZ, BB: 002747 CH)


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See Appendix A-1 for Analyst Certification, Important Disclosures and Research Analyst Affiliations.

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002747.SZ: Fiscal year end 31-Dec						Price: Rmb38,500; TP: Rmb28,000; Market Cap: Rmb33,534m; Recomm: Sell					
Profit & Loss (Rmbm)	2024	2025	2026E	2027E	2028E	Valuation ratios	2024	2025	2026E	2027E	2028E
Sales revenue	4,009	4,888	5,656	6,649	7,593	PE (x)	-41.4	na	na	na	na
Cost of sales	-2,823	-3,448	-3,901	-4,561	-5,207	PB (x)	18.7	17.1	17.0	15.1	13.2
Gross profit	1,185	1,440	1,755	2,089	2,385	EV/EBITDA (x)	na	na	78.0	62.0	52.6
Gross Margin (%)	29.6	29.5	31.0	31.4	31.4	FCF yield (%)	-1.3	0.6	0.0	0.0	0.0
EBITDA (Adj)	-92	307	448	563	664	Dividend yield (%)	na	na	na	na	na
EBITDA Margin (Adj) (%)	-2.3	6.3	7.9	8.5	8.7	Payout ratio (%)	0	0	0	0	0
Depreciation	-93	-103	-112	-126	-138	ROE (%)	-36.1	2.4	11.2	11.7	13.1
Amortisation	-69	-65	-59	-53	-49	Cashflow (Rmbm)	2024	2025	2026E	2027E	2028E
EBIT (Adj)	-254	138	277	384	477	EBITDA	-92	307	448	563	664
EBIT Margin (Adj) (%)	-6.3	2.8	4.9	5.8	6.3	Working capital	-72	114	-104	-167	-241
Net interest	-136	-153	-100	-100	-101	Other	84	87	-42	-109	-129
Associates	0	0	0	0	0	Operating cashflow	-80	507	302	287	294
Non-Op/Except/Other Adj	-384	93	117	59	59	Capex	-343	-312	-300	-300	-300
Pre-tax profit	-775	77	294	344	436	Net acq/disposals	-1,773	-1,872	0	0	0
Tax	-42	-32	-59	-69	-87	Other	1,923	2,340	0	0	0
Extraord./Min.Int./Pref.div.	7	0	-2	-2	-3	Investing cashflow	-192	157	-300	-300	-300
Reported net profit	-810	45	233	273	345	Dividends paid	-52	0	0	0	0
Net Margin (%)	-20.2	0.9	4.1	4.1	4.6	Financing cashflow	289	-990	0	0	0
Core NPAT	-810	45	233	273	345	Net change in cash	1	-323	2	-13	-6
Per share data	2024	2025	2026E	2027E	2028E	Free cashflow to s/holders	-423	194	2	-13	-6
Reported EPS (Rmb)	-0.930	0.050	0.241	0.282	0.357						
Core EPS (Rmb)	-0.930	0.050	0.241	0.282	0.357						
DPS (Rmb)	0	0	0	0	0						
CFPS (Rmb)	-0.092	0.563	0.312	0.297	0.304						
FCFPS (Rmb)	-0.485	0.216	0.002	-0.013	-0.006						
BVPS (Rmb)	2.057	2.252	2.268	2.549	2.906						
Wtd avg ord shares (m)	871	900	968	968	968						
Wtd avg diluted shares (m)	871	900	968	968	968						
Growth rates	2024	2025	2026E	2027E	2028E						
Sales revenue (%)	-13.8	21.9	15.7	17.6	14.2						
EBIT (Adj) (%)	-213.3	154.2	101.0	38.7	24.2						
Core NPAT (%)	-700.1	105.6	419.1	16.7	26.8						
Core EPS (%)	-681.3	105.4	382.5	16.7	26.8						
Balance Sheet (Rmbm)	2024	2025	2026E	2027E	2028E						
Cash & cash equiv.	1,197	896	896	881	872						
Accounts receivables	2,407	2,386	2,545	2,793	3,113						
Inventory	1,721	1,478	1,672	1,954	2,231						
Net fixed & other tangibles	2,016	2,138	2,326	2,501	2,663						
Goodwill & intangibles	1,835	1,685	1,626	1,573	1,524						
Financial & other assets	965	833	833	833	833						
Total assets	10,141	9,415	9,898	10,534	11,236						
Accounts payable	2,208	1,900	2,150	2,513	2,869						
Short-term debt	1,839	1,278	1,278	1,278	1,278						
Long-term debt	1,353	1,216	1,216	1,216	1,216						
Provisions & other liab	2,848	3,003	3,003	3,003	3,003						
Total liabilities	8,248	7,396	7,646	8,009	8,365						
Shareholders' equity	1,789	1,961	2,195	2,467	2,813						
Minority interests	104	58	58	58	58						
Total equity	1,893	2,019	2,252	2,525	2,870						
Net debt (Adj)	1,995	1,598	1,598	1,613	1,622						
Net debt to equity (Adj) (%)	105.4	79.2	70.9	63.9	56.5						

For definitions of the items in this table, please click [here](#).

Figure 1. Estun: Earnings forecast revisions

In Rmb mn	Old			New			Change %		
Unless stated otherwise	26E	27E	28E	26E	27E	28E	26E	27E	28E
P&L									
Reveue	6,020	6,923	n/a	5,656	6,649	7,593	-6%	-4%	n/a
Gross profit	1,715	1,993	n/a	1,755	2,089	2,385	2%	5%	n/a
Operating profit	265	360	n/a	277	384	477	4%	7%	n/a
Net income	137	217	n/a	233	273	345	70%	26%	n/a
EPS (Rmb)	0.158	0.250	n/a	0.241	0.282	0.357	53%	13%	n/a
Margin									
GPM	28.5%	28.8%	n/a	31.0%	31.4%	31.4%	2.5pp	2.6pp	n/a
OPM	4.4%	5.2%	n/a	4.9%	5.8%	6.3%	0.5pp	0.6pp	n/a
NPM	2.3%	3.1%	n/a	4.1%	4.1%	4.6%	1.9pp	1.0pp	n/a

In Rmb mn	Consensus			CitiE			CitiE vs. Consensus		
Unless stated otherwise	26E	27E	28E	26E	27E	28E	26E	27E	28E
P&L									
Reveue	5,799	6,699	7,629	5,656	6,649	7,593	-2%	-1%	0%
Gross profit	1,761	2,060	2,370	1,755	2,089	2,385	0%	1%	1%
Operating profit	330	428	548	277	384	477	-16%	-10%	-13%
Net income	259	341	439	233	273	345	-10%	-20%	-21%
EPS (Rmb)	0.272	0.356	0.457	0.241	0.282	0.357	-11%	-21%	-22%
Margin									
GPM	30.4%	30.8%	31.1%	31.0%	31.4%	31.4%	0.7pp	0.7pp	0.4pp
OPM	5.7%	6.4%	7.2%	4.9%	5.8%	6.3%	-0.8pp	-0.6pp	-0.9pp
NPM	4.5%	5.1%	5.8%	4.1%	4.1%	4.6%	-0.3pp	-1.0pp	-1.2pp

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Source: Bloomberg, Citi Research Estimates

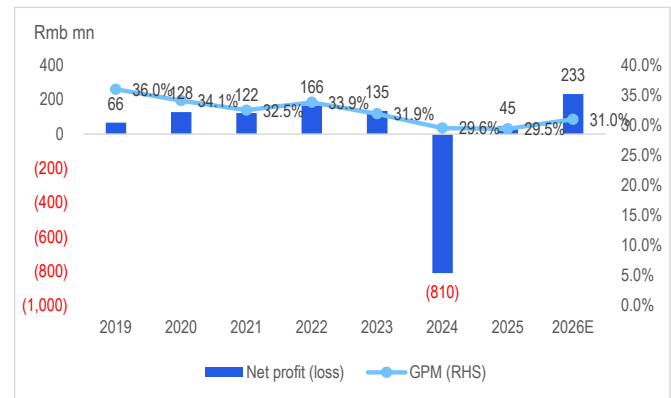
Figure 2. Estun: Quarterly P&L summary

Rmb mn	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26E	YoY	QoQ	Consensus	Diff.
P&L										
Net sales	1,244	1,304	1,255	1,084	1,217	1,500	15%	23%	1,535	-2%
Gross profit	352	353	378	358	370	473	34%	28%	448	6%
Operating profit	5	18	28	19	120	33	77%	-73%	35	-8%
Net profit	13	(6)	22	16	98	26	538%	-73%	37	-29%
EPS (Rmb)	0.015	(0.007)	0.026	0.018	0.101	0.017	340%	-84%	0.023	-29%
Margin										
GPM	28.3%	27.0%	30.1%	33.0%	30.4%	31.5%	4.5pp	1.1pp	29.2%	2.3pp
OPM	0.4%	1.4%	2.2%	1.7%	9.8%	2.2%	0.8pp	-7.7pp	2.3%	-0.1pp
NPM	1.0%	-0.5%	1.8%	1.5%	8.0%	1.7%	2.2pp	-6.3pp	2.4%	-0.7pp

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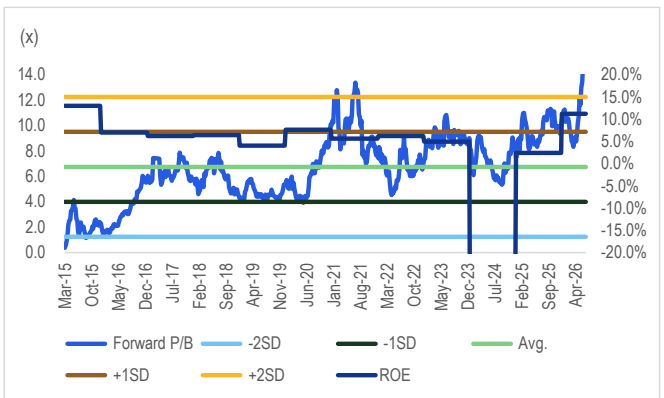
Source: Company Reports and Citi Research Estimates, Bloomberg

Figure 3. Estun: Net profit (loss) vs. GPM



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Source: Company Reports and Citi Research Estimates

Figure 4. Estun: Forward P/B trends vs. ROE



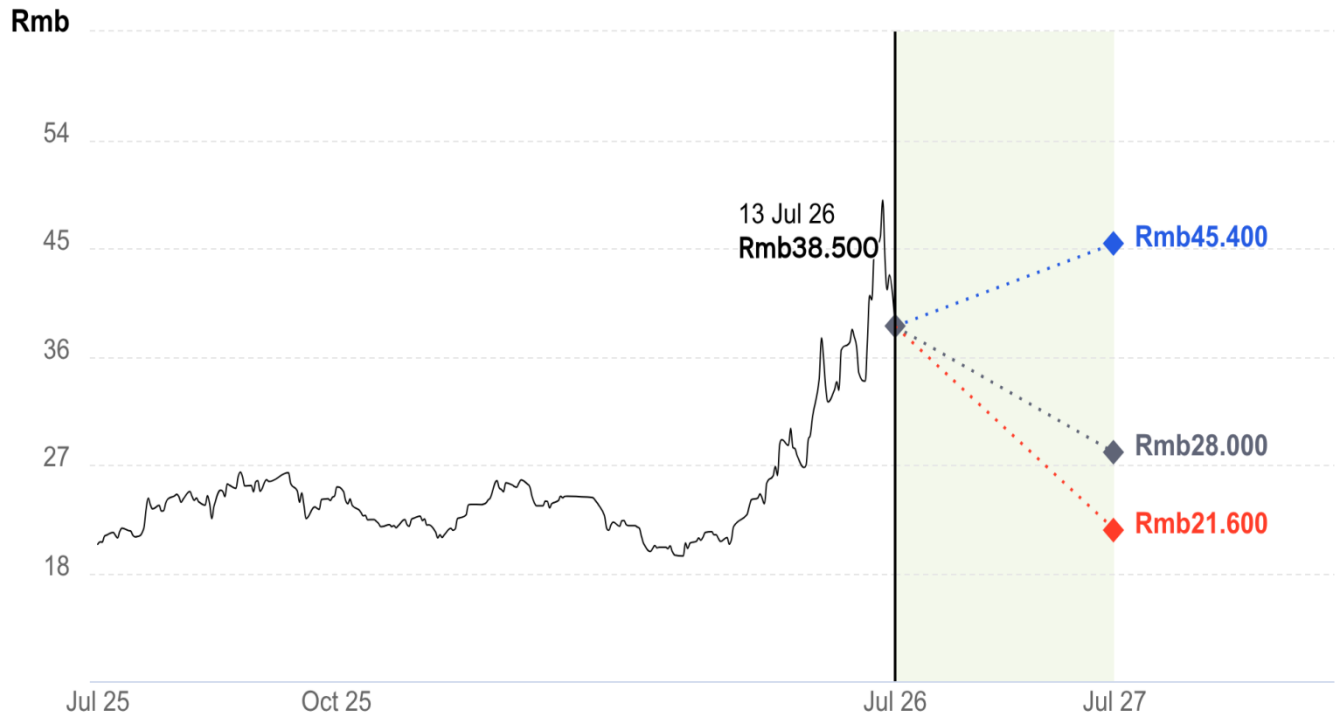
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Source: Company Reports and Citi Research Estimates

Bull/Bear: Estun (002747.SZ)

Rmb **45.400**
▲18% Upside

Rmb **28.000**
▼27% Downside

Rmb **21.600**
▼44% Downside



Spread 62pp
Current Price and expected returns (upside/downside) as of 13 Jul 2026



BULL Assumptions

- Rerated to 20.0x P/B due to better-than-expected Estun & CLOOS shipment



BASE Assumptions

- Valued at 12.3x 2026E P/B



BEAR Assumptions

- Worse-than-expected Estun & CLOOS shipment

Estun

Company description

Founded in 1993, Nanjing Estun Automation Company (Estun) is one of China's leading manufacturer of factory automation components and industrial robots, both of which are applied in a wide variety of industries including solar power, consumer electronics, EV, CNC, construction machinery and etc. In addition to developing the technologies itself, Estun also strengthens its core competence and technology edges by acquiring international automation companies, including German welding robot maker CLOOS (private).

Investment strategy

We have a Sell rating on Estun as we are concerned that its rich valuations seem to have priced in all the positives, exposing the stock to any potential negative catalysts such as possibly weaker-than-expected 2Q26 results.

Valuation

We use P/B as our valuation methodology due to Estun's fluctuating earnings. Our target price of Rmb28.0 is based on 12.3x 2026E P/B, set at 2.0 SD above average to reflect Estun's improving fundamentals.

Risks

Key upside risks that could cause Estun shares to trade above our target price include: 1) stronger-than-expected industrial robot shipments or market share gains; 2) better-than-expected GPM due to lower raw material costs or alleviated price competition; and 3) favorable FX.

Leader Drive

(688017.SS; Rmb379.51; 1; 13 Jul 26; 15:00)

Valuation

Our target price for LD of Rmb496 is based on 322x 2027E P/E, set at +1.5x SD to reflect its stronger-than-expected visibility for both humanoid and industrial robots.

Risks

Key fundamental downside risks that could cause the stock price deviate from our target price include: 1) slower growth in the automation market; 2) intensifying competition from foreign or local brands due to industry consolidation; 3) higher raw material costs eroding GPM; and 4) lower contribution from humanoid robot and other emerging applications.

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Appendix A-1

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IMPORTANT DISCLOSURES

Leader Drive (688017.SS)
Ratings and Target Price History
Fundamental Research

Analyst: Jamie Wang



	Date	Rating	Target Price	Closing Price
1	30-Jul-24 08:24:54	3	*50.00	71.15
2	12-Nov-24 22:28:37	3	*90.00	125.50
3	09-May-25 15:47:47	3	*105.00	141.99

	Date	Rating	Target Price	Closing Price
4	17-Aug-25 19:06:13	*1	*175.00	148.31
5	26-Nov-25 22:47:23	1	*187.00	145.31
6	07-Jan-26 13:19:54	1	*233.00	190.88

	Date	Rating	Target Price	Closing Price
7	23-Apr-26 12:27:07	1	*238.00	203.77
8	08-Jun-26 03:41:43	1	*496.00	428.25

*Indicates Change Rating/target price changes above reflect Eastern Time

Estun (002747.SZ)
Ratings and Target Price History
Fundamental Research

Analyst: Jamie Wang



	Date	Rating	Target Price	Closing Price
1	31-Oct-23 15:07:48	1	*29.00	18.80
2	02-Feb-24 02:20:39	1	*16.00	12.63

	Date	Rating	Target Price	Closing Price
3	07-May-24 03:17:15	*3	*14.00	16.59
4	11-Jul-24 13:42:47	3	*10.60	13.10

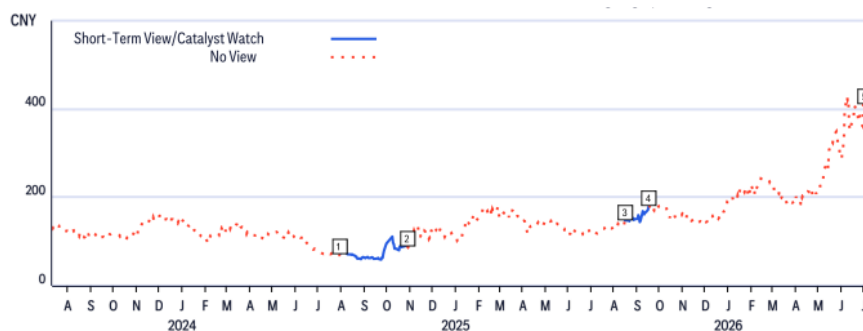
	Date	Rating	Target Price	Closing Price
5	04-May-25 18:27:04	3	*13.60	20.00
6	01-Sep-25 19:52:14	3	*13.80	23.63

*Indicates Change Rating/target price changes above reflect Eastern Time

Leader Drive (688017.SS)

Short-Term View/Catalyst Watch Research

Analyst: Jamie Wang



	Date	Action	Expected Direction	Duration	Closing Price
1	30-Jul-24 04:24:54	Add STV	Downside	90 Days	71.15
2	28-Oct-24 23:28:10	Remove STV	Downside	90 Days	89.31
3	17-Aug-25 15:06:13	Add STV	Upside	30 Days	148.31
4	16-Sep-25 23:18:07	Remove STV	Upside	30 Days	180.39
5	02-Jul-26 09:15:55	Add STV	Upside	90 Days	413.05

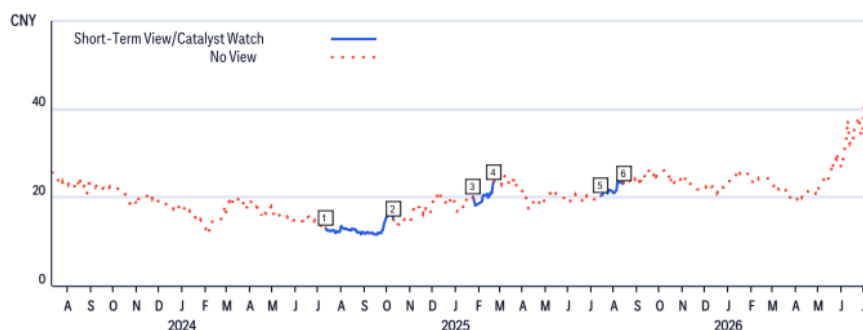
CW - Catalyst Watch, STV - Short-Term View

Rating/target price changes above reflect Eastern Time

Estun (002747.SZ)

Short-Term View/Catalyst Watch Research

Analyst: Jamie Wang



	Date	Action	Expected Direction	Duration	Closing Price
1	11-Jul-24 09:42:47	Add STV	Downside	90 Days	13.10
2	09-Oct-24 23:26:15	Remove STV	Downside	90 Days	15.18
3	24-Jan-25 02:16:06	Add STV	Downside	30 Days	20.17
4	23-Feb-25 21:14:39	Remove STV	Downside	30 Days	23.54
5	14-Jul-25 08:31:16	Add STV	Downside	30 Days	20.39
6	13-Aug-25 23:05:37	Remove STV	Downside	30 Days	23.17

CW - Catalyst Watch, STV - Short-Term View

Rating/target price changes above reflect Eastern Time

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<i>Data current as of 01 Jul 2026</i>	12 Month Rating			Catalyst Watch		
	Buy	Hold	Sell	Buy	Hold	Sell
Citi Research Global Fundamental Coverage (Neutral=Hold)	61%	32%	7%	36%	48%	16%
% of companies in each rating category that are investment banking clients	38%	42%	27%	42%	37%	36%

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Risk rating takes into account both price volatility and fundamental criteria. Stocks will either have no risk rating or a High risk rating assigned.

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